



DOCEBO INC. · TSX: DCBO · REVERSE DCF

The market is pricing Docebo as if its customers are quietly leaving, or as if its "adjusted" cash isn't real

At C\$33.22, Docebo's share price only makes sense if existing customers pay about 10% less every year (net revenue retention of 90%), when Docebo reports 99%. Or it makes sense if long-run cash is no better than the net profit analysts expect.

ANALYST	CONTACT	METHOD	PRICES AS OF
Noah Alazar	alazarnoah@gmail.com	Customer-level reverse DCF	17 Sep 2026 close

The hidden bet: 90.2% retention vs 99% reported.

We rebuilt Docebo as a 10-year recurring-revenue model using reported figures, then solved for the net revenue retention (NRR) that matches today's price. It implies existing customers cut their spending by about 9.8% a year. Docebo reports a 1% decline.

At reported numbers the model gives C\$53.56 (+61%).

That uses management's 24% margin target and a 10% discount rate. The analyst consensus target is C\$44.01 (Simply Wall St).

The strongest counter-argument.

If long-run cash only equals the net profit analysts expect for 2029 (13.5% of revenue), the model gives C\$34.00, about today's price. The market may simply be refusing to pay for "adjusted" cash.

Red flags are real.

The company bought back shares at US\$55 and US\$29 that now trade near US\$24, and equity has turned negative. It borrowed to fund deals, 2025 profit was boosted by a one-off tax gain, and almost the whole leadership team has changed since 2024.

Key data

Share price (TSX)	C\$33.22
Model value (base)	C\$53.56
Analyst target	C\$44.01

Shares outstanding	24.95M
Market cap	C\$829M
Net debt	US\$44.8M
Enterprise value	US\$637M

ARR (Jun-26)	US\$255.1M
ARR growth	9.5%
Gross margin	79.4%
LTM free cash flow	US\$48.7M
EV / ARR	2.5×
EV / LTM FCF	13.1×

**Market-implied view:
pessimistic**

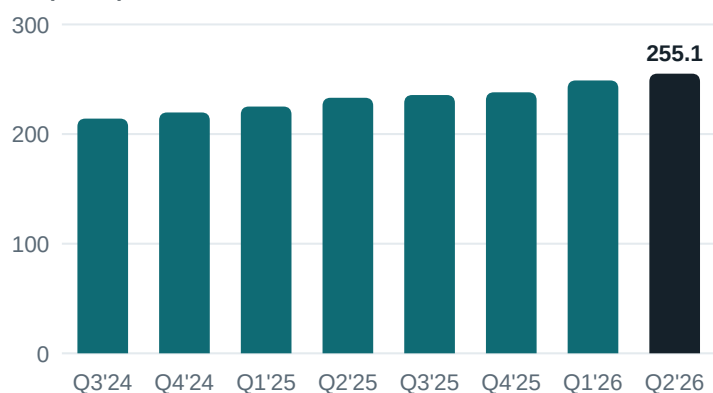
1. Company overview

Docebo sells a cloud learning platform that companies use to train employees, customers and partners. Subscription revenue was 94% of total revenue in Q3-2025 and Q4-2025. The company is headquartered in Toronto, reports in US dollars, and is listed on the TSX and Nasdaq. InterCap owns 63.7% of the shares.

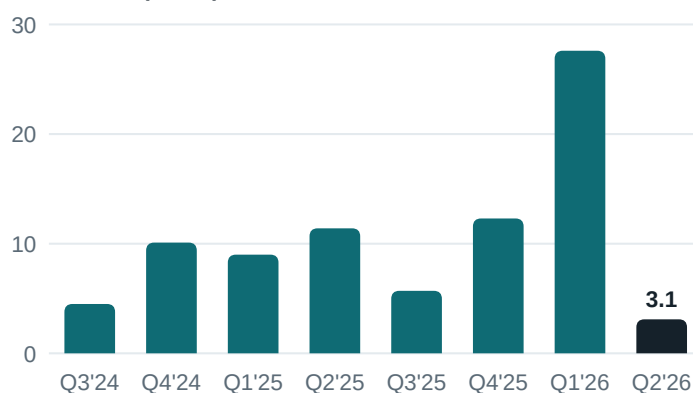
ARR growth slowed from 17.8% in Q3-2024 to 8.4% in Q4-2025, then recovered to 9.5% in Q2-2026. The 2026 figure includes ARR from 365Talents, bought in January 2026. The largest OEM customer fell from 9.4% of ARR (March 2025) to 2.5% (June 2026) as the AWS relationship ended. Management raised FY2026 revenue guidance twice: US\$267.5–269.5M in February, US\$271.0–273.0M in April, and US\$274.5–276.5M in July.

EXHIBIT 1 · ARR AND FREE CASH FLOW BY QUARTER (US\$M)

ARR (US\$M)



Free cash flow (US\$M)



Source: each quarter's Docebo press release (Q3-2024 to Q2-2026). FCF swings with billing timing: Q1-26 was 42% of revenue, Q2-26 was 4.5%.

2. Method: reported numbers in, market expectation out

A normal DCF picks assumptions and produces a share price. A reverse DCF starts from the price and solves for the assumption the market must hold. We solve for net revenue retention because Docebo reports it and it drives the value of a subscription business more than any other number.

- ① Ending ARR = Starting ARR × NRR + New-customer ARR
- ② Revenue = average(Starting ARR, Ending ARR) × 1.061 (LTM revenue ÷ average ARR)
- ③ FCF = Revenue × adj. EBITDA margin × 87.7% (FY2025 FCF ÷ adj. EBITDA)
- ④ Value today = $\sum FCF_t \div (1 + r)^t + [FCF_{10} \times (1 + g) \div (r - g)] \div (1 + r)^{10}$
- ⑤ Price = (Enterprise value + cash - debt) ÷ shares × USD/CAD
- ⑥ Solve: Price(NRR) = C\$33.22 → NRR = 90.2%

No analyst guesses. Every input is reported by Docebo, calculated from reported numbers, taken from management's own long-term target, or a stated market convention (10% discount rate, 2.5% terminal growth). New-customer ARR and the FCF conversion rate are held flat at their actual levels.

EXHIBIT 2 · BASE-CASE FORECAST AT REPORTED NRR OF 99% (US\$M)

YEAR	1	2	3	4	5	6	7	8	9	10
Starting ARR	255.1	276.9	298.4	319.8	340.9	361.8	382.6	403.1	423.4	443.5
+ New-customer ARR	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3
– Existing customers (NRR 99%)	(2.6)	(2.8)	(3.0)	(3.2)	(3.4)	(3.6)	(3.8)	(4.0)	(4.2)	(4.4)
Ending ARR	276.9	298.4	319.8	340.9	361.8	382.6	403.1	423.4	443.5	463.4
Revenue	282.1	305.1	327.9	350.4	372.7	394.8	416.6	438.3	459.7	480.9
Adj. EBITDA margin	21.3%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%
Adjusted EBITDA	60.0	73.2	78.7	84.1	89.4	94.7	100.0	105.2	110.3	115.4
Free cash flow	52.6	64.2	69.0	73.7	78.4	83.1	87.7	92.2	96.7	101.2
Present value at 10%	47.8	53.1	51.8	50.4	48.7	46.9	45.0	43.0	41.0	39.0

New-customer ARR is held flat at the last-12-months level (US\$24.3M), with no growth assumed. That figure includes some acquired 365Talents ARR, which Docebo does not break out.

EXHIBIT 3 · FROM CASH FLOWS TO VALUE PER SHARE

Sum of PV of free cash flow, Years 1–10	466.6
PV of terminal value (2.5% growth)	533.2
Enterprise value (US\$M)	999.8
+ Cash after buyback / – Debt	43.2 / (88.0)
Equity value (US\$M)	955.0
÷ Shares (M, reported) → US\$ per share	24.95 → 38.28
Value per share (C\$, at 1.3991)	53.56
Terminal value share of EV	53%

3. The finding: four ways to read C\$33.22

Retention is the main lens, but the same price can be read through any single lever with the others held at reported levels. Each reading says the market expects much worse than Docebo is reporting.

EXHIBIT 4 · WHAT TODAY'S PRICE REQUIRES, ONE LEVER AT A TIME

LEVER	REPORTED / COMPANY FIGURE	NEEDED TO JUSTIFY C\$33.22
Net revenue retention	99% (FY2025)	90.2%
New-customer ARR per year	US\$24.3M (last 12 months)	about US\$2.1M
Long-term adj. EBITDA margin	18.5% today, 24% target	15.1%, forever
Required return (discount rate)	10% (CAPM cross-check ≈ 9%)	13.9%

Solved with the model in Exhibits 2–3, changing one lever at a time.

4. Sensitivity

EXHIBIT 5 · VALUE PER SHARE (C\$): NET REVENUE RETENTION × DISCOUNT RATE

NRR ↓ / DISCOUNT →	8%	9%	10%	11%	12%
80%	27.37	23.38	20.42	18.13	16.31
85%	34.71	29.48	25.62	22.65	20.29
90%	44.99	37.97	32.81	28.84	25.70
95%	59.51	49.86	42.79	37.39	33.12
99% (reported)	75.33	62.75	53.56	46.55	41.04
101% (ex-AWS)	85.05	70.64	60.12	52.12	45.83
105%	108.97	90.00	76.19	65.70	57.49

Green = above the C\$33.22 market price; red = below. Boxed cells are closest to the market price.

Implied NRR at each discount rate

Other stress tests (at reported NRR)

DISCOUNT RATE	8%	9%	10%	11%	12%	NRR 101% (ex-AWS, now that AWS is gone)	C\$60.12
Implied NRR	84.1%	87.4%	90.2%	92.8%	95.1%	No new customers, ever	C\$31.26

5. The strongest counter-argument: profit vs "adjusted" cash

Our model counts free cash flow built from *adjusted* EBITDA, which leaves out share-based pay and one-off costs, and Docebo's cash is helped by customers paying upfront. Analysts instead forecast **net profit**, after every cost. Simply Wall St's consensus has 2029 revenue of US\$354.4M and net income of US\$48.0M: a 13.5% margin, against the 21.0% cash margin in our base case.

EXHIBIT 6 · VALUE PER SHARE AT REPORTED NRR, CHANGING ONLY THE LONG-RUN MARGIN

SCENARIO	ADJ. EBITDA MARGIN	CASH MARGIN	VALUE C\$	VS C\$33.22
Analysts' 2029 net profit margin used as the cash margin	15.4%	13.5%	34.00	+2%
Today's LTM margin, held forever	18.5%	16.2%	40.98	+23%
FY2026 guidance margin, held forever	20.1%	17.7%	44.74	+35%
Management's 2028 target (base case)	24.0%	21.0%	53.56	+61%

Excel: Sensitivity tab, margin stress test. Analyst inputs: Simply Wall St valuation page, 29 Sep 2026 (consensus, not reported). Guidance: Docebo release, 17 Jul 2026.

What this means: if you believe the analysts' profit, today's price is about fair. If you believe today's margins or guidance continue, the stock is worth C\$41–45, close to the analyst target of C\$44.01. It is only worth C\$53.56 if management hits its 24% target *and* adjusted cash really belongs to shareholders. The reverse DCF shows the gap between the price and the reported numbers; this table shows which belief closes it.

Note on the analyst target: Simply Wall St describes C\$44.01 as "26.1% higher" than C\$32.54. Measured from the current price, the upside is $(44.01 - 32.54) \div 32.54 = 35.2\%$. The 26.1% divides by the target instead.

6. Red flags: what looks sketchy about Docebo

These facts are reasons a sceptical investor might not trust the adjusted numbers, or might demand a discount anyway. Each was checked against Docebo's releases and filings.

FLAG	THE FACTS	SOURCE
Bought back shares far above today's price	2023: US\$100M at US\$55.00. FY2025: US\$47.1M at an average US\$29.07. Mar-2026: US\$60M at US\$20.40 (oversubscribed; 3.81M shares offered). H1-2026 market buybacks: US\$19.4M at US\$18.02. The price today is about US\$23.74.	Buyback results 29 Dec 2023 and 11 Mar 2026; FY2025 and Q2-2026 MD&A
Second 2026 buyback flopped	July offer for up to US\$70M, raised from US\$20.40 to US\$25.00; only 99,332 shares (US\$2.48M) tendered, paid from cash.	Releases of 17 Jul, 21 Aug and 11 Sep 2026
Owners' equity went negative	Total equity fell from US\$74.1M (Dec 2025) to about –US\$0.3M (Jun 2026), mainly from the 2026 buybacks.	Q2-2026 financial statements; Simply Wall St
Borrowed to fund deals	Drew ~US\$50M (14 Jan), US\$30M (10 Mar) and US\$10M (1 Jun 2026). Borrowings US\$88.0M vs cash US\$45.7M at 30 Jun 2026.	Q1/Q2-2026 MD&A; release of 17 Jul 2026
Growth partly bought	365Talents bought 20 Jan 2026 (US\$61.3M announced; US\$60.4M in the purchase accounting). ~US\$9M revenue expected in 2026. Headline ARR includes acquired ARR.	Acquisition release; Q1-2026 financial statements
2025 profit boosted by a one-off	FY2025 net income of US\$37.5M included a US\$13.1M income-tax recovery. Q1-2026: net loss US\$1.6M. Q2-2026: net income US\$2.3M, down from US\$3.1M.	FY2025 annual report; Q1/Q2-2026 releases
"Adjusted" hides real costs	Adjusted EBITDA excludes share-based pay, restructuring and deal costs. Severance US\$5.2M (FY2025) and US\$6.2M (Q1-2026).	MD&A definitions; financial statements
Almost the whole leadership changed	New CEO (interim Mar 2024, permanent Sep 2024), new CFO (Apr 2025), new CRO (Jul 2025), new CMO and CTO (2025); the Chief Product Officer left in Q4 2025.	Docebo releases 2023–2025
Controlled company	Intercap owns 63.7%, up from 56.6% before the March 2026 buyback.	Buyback results 11 Mar and 11 Sep 2026
Insiders sold much higher	In 2021 Intercap, founder Claudio Erba and Alessio Artuffo (then President, now CEO) sold at C\$112.00 and US\$49.67.	2021 secondary offering releases
Biggest customers leaving	Largest OEM customer: 9.4% of ARR (Mar 2025) → 3.2% (Mar 2026) → 2.5% (Jun 2026).	Releases of 21 Apr and 7 Aug 2026

7. Conclusion and what to watch

On adjusted numbers, Docebo's price assumes a sharp deterioration: retention falling from 99% to about 90%, or new sales collapsing to a tenth of today's pace. The filings show neither. **But the price is about fair if you value Docebo on the net profit analysts expect**, and the red flags explain why investors might do exactly that: buybacks made at much higher prices, negative equity, debt-funded deals, profit flattered by a tax gain, and a new leadership team with little track record. Our view is that the stock is cheap only if adjusted cash turns into real shareholder profit.

Catalyst: Q3-2026 results. Guidance is revenue of US\$69.5–69.7M and adjusted EBITDA of US\$15.9–16.1M.

Watch: (1) any updated net revenue retention figure now that AWS has fully churned; (2) organic ARR growth excluding 365Talents; (3) IFRS net income, not just adjusted EBITDA; (4) borrowings.

Appendix: inputs and sources

INPUT	VALUE	TYPE	SOURCE
Quarterly ARR, revenue, adj. EBITDA, FCF	Exhibit 1	Reported	Docebo press releases Q3-2024 to Q2-2026 (sec.gov 6-K filings)
Net revenue retention	99% (101% ex-AWS)	Reported	Q4-2025 earnings call
New-customer ARR	US\$24.3M / yr	Calculated	$255.1 - 233.1 + 1\% \times 233.1$, held flat
Revenue per \$ of ARR	1.061	Calculated	LTM revenue 258.9 ÷ average ARR 244.1
Adj. EBITDA margin	18.5% → 24% by 2028	Reported → company target	LTM actual; management's long-term model
FCF conversion	87.7%	Calculated	FY2025 FCF 38.4 ÷ FY2025 adj. EBITDA 43.8
Cash / debt / shares	43.2 / 88.0 / 24,947,594	Reported	Releases of 17 Jul and 11 Sep 2026
Price / USD-CAD	C\$33.22 / 1.3991	Market	TSX close and mid-market rate, 17 Sep 2026
Analysts' 2029 revenue / net income; target	354.4 / 48.0; C\$44.01	Market (consensus)	Simply Wall St, 29 Sep 2026
Discount rate / terminal growth	10% / 2.5%	Convention	CAPM cross-check ≈ 9%; ≈ 2% inflation target + real growth

Figures were compiled from Docebo's press releases and SEC filings via public news and search sources, and cross-checked by independent verification passes. Full links for every number are on the Sources tab of Docebo_Reverse_DCF.xlsx.

Analyst certification

I, Noah Alazar, certify that the views expressed in this report accurately reflect my personal views about the subject company and its securities. I have not received and will not receive any compensation for this report. I hold no position in Docebo Inc.

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